



OUR STRATEGIC PLAN

1. Executive Summary:

With a new government in place, the question of whether Lebanon can attract investment remains highly dependent on political stability, economic reforms, and security guarantees. While large-scale Foreign Direct Investment (FDI) may be premature, specific incentives targeting Lebanese diaspora, strategic sectors, and international partners could create opportunities for limited, high-impact investments. This brief outlines key policy measures needed to restore confidence, attract capital, and rebuild Lebanon's economy.

1. Political & Security Preconditions for Investment:

A. Ensuring Political Stability & Governance Reforms:

- The government must implement credible anti-corruption reforms, judicial independence, and depoliticization of state institutions to regain investor trust.
- Transparent governance frameworks should be introduced, including international monitoring mechanisms to enforce accountability.

B. Security Guarantees & Disarmament of Armed Groups:

- Lebanon's security risks, primarily Hezbollah's armed presence, must be addressed through compliance with UN Resolutions 1559, 1680 & 1701.
- International support for UNIFIL's expanded role in monitoring border security can help create a more predictable investment environment.

2. Key Investment Incentives & Sectors for Growth:

A. Tax Incentives & Regulatory Stability:

- Corporate tax reductions for new businesses and foreign investors.
- Zero tax for repatriated capital for Lebanese expatriates investing in Lebanon.
- Protection against arbitrary capital controls or future banking collapses through a clear financial reform framework.

B. Banking & Financial Sector Reforms:

- IMF-backed financial stabilization measures must be implemented to restore trust in Lebanon's banking sector.
- Capital control laws should be transparent, structured, and protect foreign investors from arbitrary asset seizures.

C. Public-Private Partnerships (PPPs) in Infrastructure & Energy:

- Investment in renewable energy (solar, wind) projects to address Lebanon's energy crisis.
- Internationally supervised reconstruction of Beirut Port, similar to the Singapore Port model, to ensure efficiency and transparency.
- Expanding digital infrastructure & technology hubs to attract international firms.

D. Lebanese Diaspora Investment Fund:

- Establish a diaspora-focused investment vehicle, backed by IMF, U.S., EU, and GCC partners, ensuring liquidity and legal protections.
- Create de-risking mechanisms to incentivize expatriates to reinvest in Lebanon's economy.

3. Strategic International Partnerships:

A. Engaging with Gulf & Western Allies for Economic Stabilization:

- Strengthen economic ties with the United States, Saudi Arabia, UAE, and France, leveraging financial support and trade partnerships.
- Encourage U.S./EU-led economic recovery programs to rebuild investor confidence.

B. International Oversight & Investment Guarantees:

- Foreign investment protection through international dispute resolution mechanisms to safeguard against corruption.
- Strengthening Lebanon's trade agreements with key partners, including the U.S. and EU, for preferential trade status.

4. Conclusion: A Phased Approach to Investment Recovery:

Lebanon's road to economic recovery requires a balanced approach by prioritizing stability, strategic incentives, and international partnerships. While full-scale investment remains a challenge, targeted reforms in banking, infrastructure, and regulatory transparency can lay the foundation for future investor confidence. The American Lebanon Education Foundation advocates for a structured Investment Protection & Economic Recovery Plan, ensuring that Lebanon can transition from crisis management to sustainable economic growth.